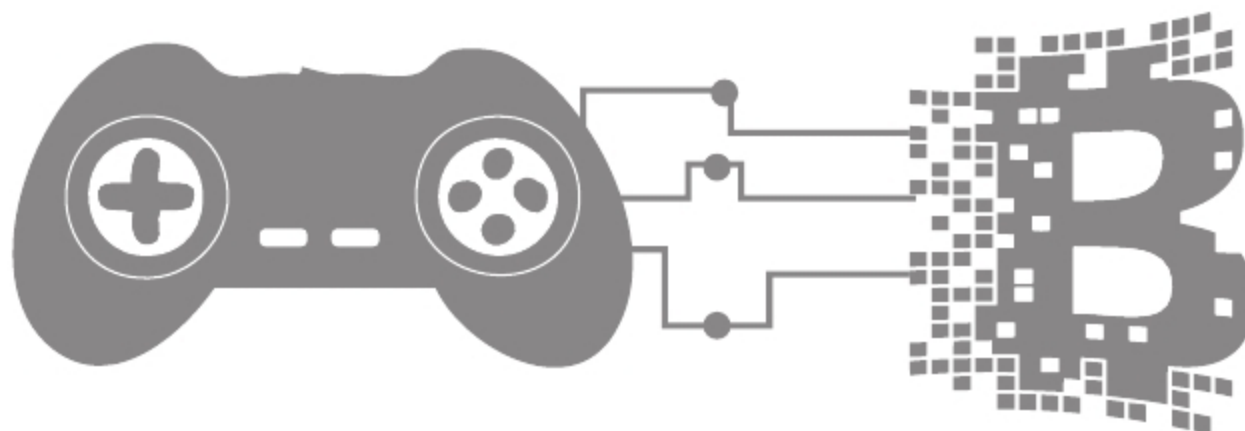


Blockchain Technology can Revolutionise the Gaming Industry

The techies in the gaming industry have always been the early adopters of technology and right now, they are excited about blockchains – now believed to be the world's leading software platform for digital assets.



After being successfully applied in almost every field, like finance, agriculture and in geospatial areas, blockchain – the decentralised technology developed by an elusive Satoshi Nakamoto, is now making an entry into the gaming space as well. In fact, some believe that the gaming industry will be the first to see the next generation using blockchain technology.

The journey of the gaming industry

Since ancient times, games have been a part of human culture. Back then, games were limited to the real world. With the advances in technology, the era of video games began, followed by games on PCs and mobile phones.

These games were first limited to just one player or multiple players who were physically present with each other. But all this changed as game developers launched massively multi-player online (MMO) games, which involved competing with a large number of remote players on the same server. Now, these game developers are shifting their focus to blockchain technology.

A look at today's gaming industry

The gaming industry has tremendous appeal for developers as well as the players and investors. However, the industry still has several pain points for both developers and players. Let's get introduced to some of these so that we know how blockchain can resolve them.

The fear of losing precious digital assets: Players spend so much time and sometimes money to acquire their precious assets in the game but there is always a fear that they may lose these any day. This could occur because of several reasons such as the game creator going out of business or some central authority banning them from playing the game. This happens all the time as players do not own these digital assets, which reside on a centralised server.

The digital assets of one game have no value in another: Let's suppose a player has spent a lot of time and money to obtain a sword, in one particular game. When he completes the game or just wants to move on to another one, he cannot use that sword in the new game as it never really belonged to him, even though he has spent time and money on acquiring it. He can no longer use this sword or even exchange it for something else in another game.

Separate servers for different regions: In the massively multi-player online role-playing games (MMORPG), separate servers are needed for different regions. In fact, many sub-servers are also required to form the whole system. So, even if there are only a few players, but they are from different regions, a large number of servers will be in use. Besides, if one server crashes, players from an entire large area will lose connectivity.

Micro-transactions are a myth: The 'free-to-play' games are entirely based on the strategy to offer early users low-cost items and then upgrade them, step by step, by luring them into spending what seems like almost negligible amounts of money, but which finally adds up to a large sum. For example, a game company may offer a sword for US\$ 15 and then upgrade it to the next level at the rate of US\$ 0.25. Game developers can add hundreds of upgraded features in this way, and players do not think too much about buying something worth US\$ 0.25 at one time. Hence, many players buy the sword and keep updating it, at different stages of the game, without actually knowing how much they end up spending on it. But traditional payment methods do not allow these micro-transactions. Even payment channels like Paypal charge US\$ 0.25 + 2.5 per cent of the transaction amount. Thereby, true micro-transactions are a myth in the gaming industry right now.

Developers lose money in customer support: The credit card companies, especially in western countries, are pretty good at protecting their customers' rights. If you have any issues regarding a purchase on your card, you are free